The situation changes dramatically whenever agricultural land becomes non-agricultural. There is an enormous demand-supply gap of non-agricultural land. The income generated from non-agricultural use of land is manifold.

The states have opted for little or no conversion as a default policy. Conversion of land is an exception. For instance, the Andhra Pradesh Agricultural Land (Conversion for Non-Agricultural Purposes) Act, 2006, states: ‘No agricultural land in the state shall be put to non-agricultural purposes, without the prior payment of Conversion Tax to government.’

States want to capture as much of the exaggerated value increment upon conversion as possible for themselves. Rules for conversion offer the authorities too much discretion as well. For example, the Odisha Land Reforms Act, 1960, provides that only a *raiyat* (someone who has the right to hold land for cultivation) can apply for conversion of agricultural land for non-agricultural purposes.

Non-agricultural use of land is more productive and is essential to meet India’s residential, commercial and infrastructure demands. If only 2 per cent of the 140 million hectares of agricultural land were converted into non-agricultural use, the entire demand-supply scenario would probably disappear. Land for non-agricultural use would not be as costly as it is today. Industry, infrastructure and housing would become affordable and promote businesses and growth. Farmers would get a little more money without land availability for agriculture being affected.

Therefore, the reform of the land conversion regime is absolutely justified. Conversion should be freely permitted without the requirement of a state officer passing a conversion order. In fact, the distinction between agricultural and non-agricultural land should disappear. Whatever the use, land will anyway remain subject to laws that govern environmental, health, safety and other legitimate common concerns.